

FRONT-RUNNING VS INSIDER TRADING

Front-running, a term often gets confused with insider trading, essentially involves buying stocks before the fund itself does. This means the fund buys at a higher price, potentially impacting returns.

In the context of a mutual fund like Quant, it would involve executing trades ahead of the fund's transactions to benefit from the anticipated price movement caused by those transactions.

Goel says, "Front-running does not necessarily require access to insider information, it exploits the knowledge of pending large transactions. It impacts investors by potentially reducing the returns of mutual funds or other large investors. By trading ahead, front-runners can manipulate prices, thereby reducing the profitability of the original trade."

A significant concern is the erosion of investor trust in the fund house, which can lead to redemptions and affect the fund's net asset value (NAV). It leverages non-public information about upcoming trades, not company secrets.

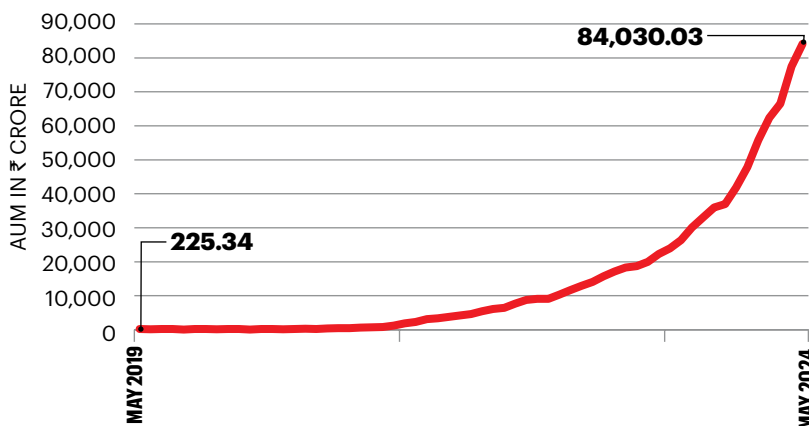
Insider trading, on the other hand, involves trading in a company's securities by those who have access to non-public, material information about the company. Basically, it involves a breach of trust and access to restricted company information.

SEBI'S ACTION

One should understand that Sebi's primary mandate includes safeguarding investor interests and maintaining the integrity of the securities market. The initiation of an inquiry indicates the regulator's commitment to ensuring compliance with regulatory standards and protecting investors from potential malpractices. Secondly, Sebi may impose penalties, issue warnings, or take legal action against entities found guilty of front-running.

SKYROCKETING GROWTH

● The fund's AUM, which stood at ₹225 crore in May 2019 and at ₹23,956 crore in May 2023, surged to a substantial ₹84,030 crore in May 2024



SOURCE BT RESEARCH

INVESTORS' CHOICE

Analysts suggest investors adopt a cautious approach, and hold off on making further investments or redeeming existing ones until there's more clarity. Per media reports, since news emerged about Sebi's search and seizure operation till June 28, approximately ₹1,400 crore, or about 1% of the total AUM, has been redeemed.

Results of a stress test released for May revealed that Quant MF would take 28 days to liquidate 50%

FRONT-RUNNING INVOLVES BUYING STOCKS BEFORE THE FUND ITSELF DOES

of its small-cap portfolio and 14 days to liquidate 25% of the small-cap portfolio. For the Quant Mid Cap Fund, it would take 9 days to liquidate 50% of its portfolio and 5 days to liquidate 25%. The test is a regulatory requirement to assess how quickly fund managers can liquidate their portfolios in the event of high redemption requests.

However, Himanshu Srivastava,

Associate Director—Manager Research, Morningstar Investment Research India, emphasises, "It's crucial for investors to stay informed about developments and monitor any directives from Sebi."

Srivastava believes regular contact with financial advisors is crucial. Engaging with the fund house can provide valuable insights into their stance on the investigation and the guidance they offer to investors. Currently, the case is still under investigation, and no conclusions have been reached. Hence, it is premature to make any definitive judgments.

Srivastava reassures, "An ideal approach is to hold on to existing investments and choose to not invest further."

Thus, instead of making hasty decisions, it is better to have patience and trust in the ongoing probe, which will allow you to make more informed decisions once there is greater clarity on the situation. **BT**

Disclaimer: The recommendations mentioned above are from experts and not from *Business Today*. Consult certified experts before making any investment decisions.

@imNavneetDubey